Corruption or AML Index of Public Authorities or government sector

TIMOTH DEV

Lead Data Scientist



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Macro-level AML or corruption index

Micro-level – high risk Individuals (AML or corruption)

Implementation Demo (Micro Level)

Conclusion – Future Applicability





Macro-level

Macro level corruption index is a top-down approach, where we find corruption at country level and goverment sectors within the country based on legislation

Table 3: The rules and practices pillars

Pillar	Corresponding core rules/practices
Executive	Conflict of interest rules
Legislature/Parliament	Fair elections
Parliamentary public accounts committee	Power to question senior officials
Auditor General	Public reporting
Public service	Public service ethics
Judiciary	Independence
Media	Access to information
Civil society	Freedom of speech
Ombudsman	Records management
Anti-corruption/watchdog agencies	Enforceable and enforced laws
Private sector	Competition policy including public procurement rules
International	Effective mutual legal/judicial assistance

Source: Pope 2000: 37



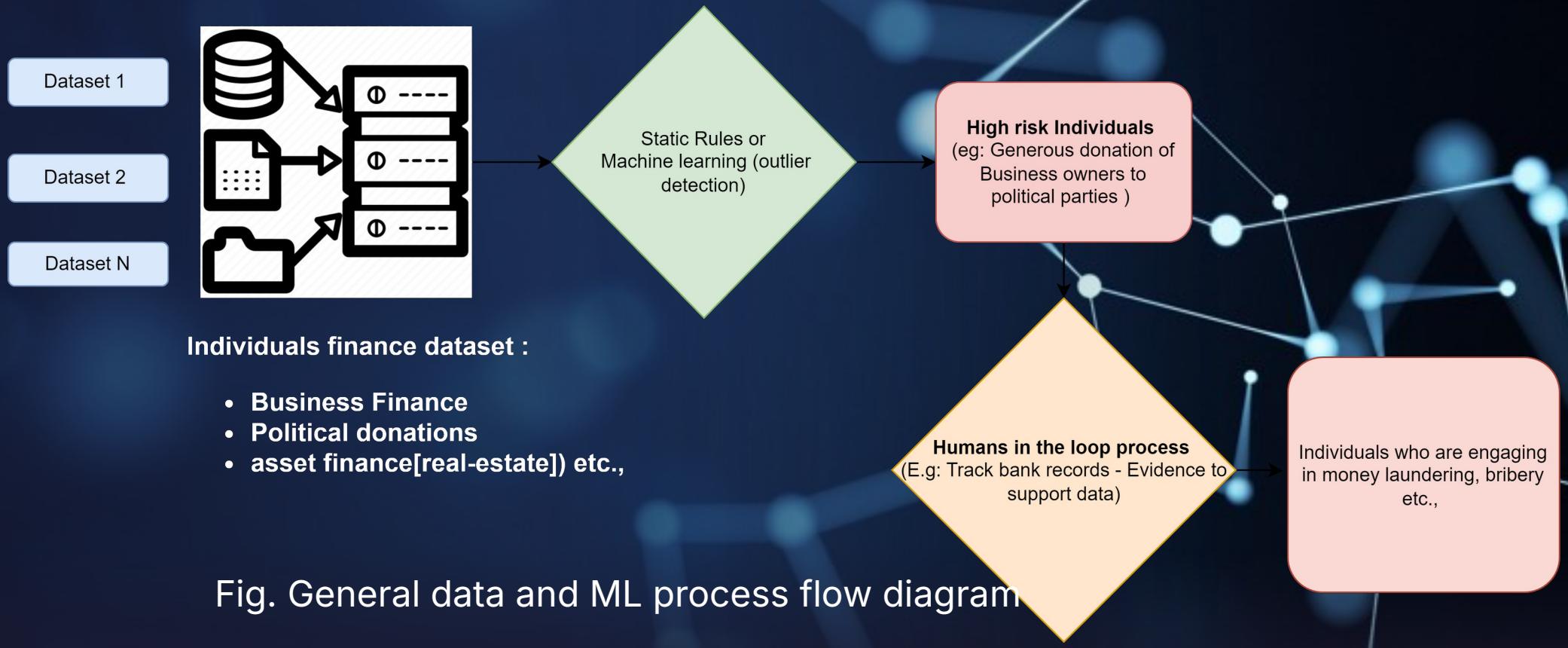
Sources:

Indicators for Corruption Prevention (federal state level), indicator proposal (Transparency International Deutschland e.V.).

McCusker, R. 2006. *Review of anti-corruption strategies*. Australian Institute of Criminology.

Micro-level

- Micro-level finds high risk companies or individuals who might be involved in corruption

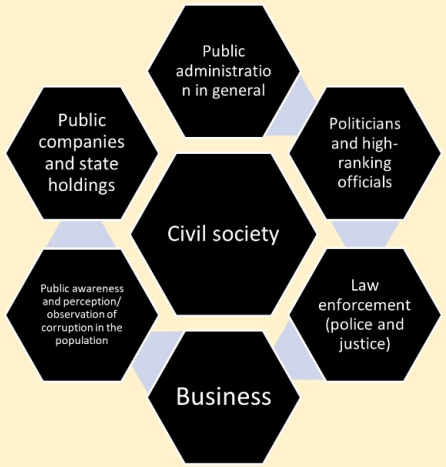


Individuals finance dataset :

- **Business Finance**
- **Political donations**
- **asset finance[real-estate]) etc.,**

Fig. General data and ML process flow diagram

Combining Data Sets – Macro & Micro



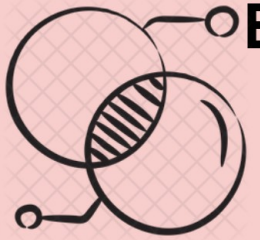
Corruption index = Machine Learning (Outliers) + Rules

MACRO

Macro Level **Corruption index** for Governments Sectors

Find All Individuals & their immediate relatives **name and personal code** in the high corruption score department

Evidence



Track Bank records and financial statements

High risk individuals **(Government related)**

MICRO

Micro Level **Corruption index** for individuals

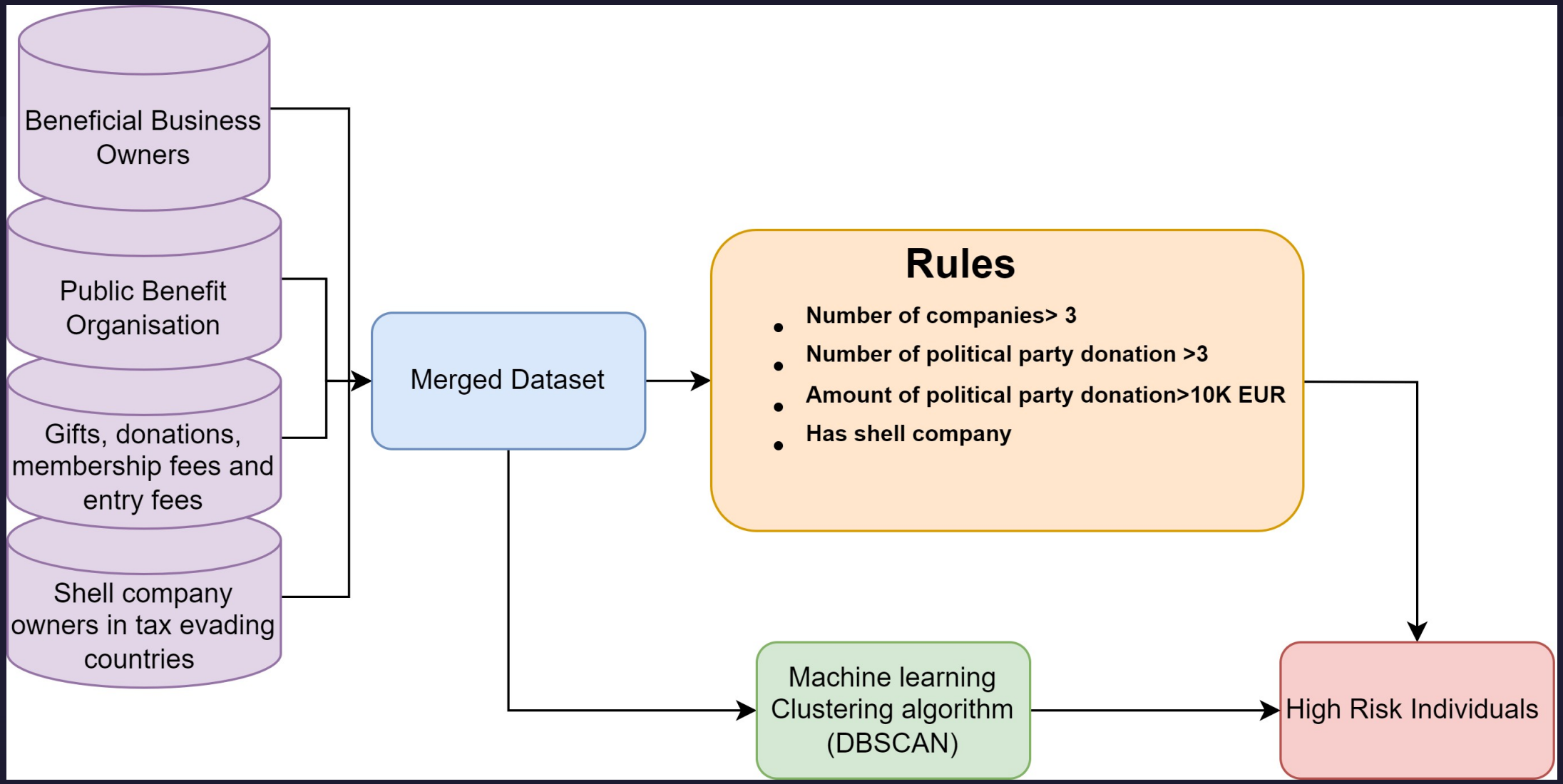
Individuals **Finance + business data**

Corruption index = Machine Learning (Outlier) + Rules

Implementation Demo



Overall process flow



Conclusion

- RESULT
  - Combining opensource dataset with pandora papers data proved effective to find high risk individuals.
  - Kmeans clustering (5 variables) has captured 100 high risk individuals from ~ 133K.
- FUTURE APPLICABILITY:
  - Micro-level: Need to integrate multiple opensource datasets.
  - Monitoring individuals for factual evidence.
  - Macro-level: LLM to asses legislation for anti-corruption and AML.
- LIMITATIONS
  - A high index does not necessarily reflect corrupt behavior.
  - Human analysis and further processes required to collect factual evidence that can be proved in court.
  - Opensource Dataset are not transparent and are subject to manipulation.

DEMOCRATISATION OF OPENSOURCE DATASET IS CRUCIAL TO FIGHT CORRUPTION AND ANTI-MONEY-LAUNDERING